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[TENTATIVE] ORDER DENYING DEFENDANTS' MOTION TO QUASH AND GRANTING ALTERNATIVE REQUEST TO MODIFY BANK OF AMERICA SUBPOENA

I. INTRODUCTION

This is an action arising from purchase and possession of the real property located at 1410 Santa Margarita Dr., Arcadia, CA, APN 5769-016-014 (the "Subject Property"). Plaintiff alleges that she provided approximately \$4.89 million to Defendants for an all-cash purchase of the Subject Property, but Defendants instead financed a portion of the purchase, used Plaintiff's funds for unauthorized purposes, and later refused to transfer title to Plaintiff.

On May 26, 2026, Plaintiff filed the operative Second Amended Complaint, asserting causes of action for: (1) breach of oral agreement; (2) specific performance/equitable conveyance; (3) breach of fiduciary duty; (5) conversion; (6) common count – money had and received; (7) accounting; (8) purchase-money resulting trust; (9) constructive trust; (10) quasi-contract/restitution; and (11) declaratory relief. The SAC does not identify a fourth cause of action

On July 6, 2026, Defendants Zimo Xu and Qiang Zhong filed the instant motion to quash or modify the subpoena directed to Bank of America. On August 18, 2026, Plaintiff filed an opposition, and on August 24, 2026, Defendants filed a reply.

II. LEGAL STANDARD

"If a subpoena requires the attendance of a witness or the production of books, documents, electronically stored information, or other things before a court, or at the trial of an issue therein, or at the taking of a deposition, the court, upon motion reasonably made by any person described in subdivision (b), or upon the court's own motion after giving counsel notice and an opportunity to be heard, may make an order quashing the subpoena entirely, modifying it, or directing compliance with it upon those terms or conditions as the court shall declare, including protective orders. In addition, the court may make any other order as may be appropriate to protect the person from unreasonable or oppressive demands, including unreasonable violations of the right of privacy of the person." CCP § 1987.1(a).

""[U]pon motion reasonably made by the party,' judges may rule upon motions for quashing, modifying or compelling compliance with, subpoenas." Lee v. Swansboro Country Property Owners Ass'n (2007) 151 Cal.App.4th 575, 582-83 (seven days' notice of motion constituted reasonable delay). A court may quash a subpoena entirely or partially, and issue an order to protect parties, witnesses or consumers from unreasonable or oppressive demands including violations of privacy. CCP §1987.1. A court may abuse its discretion in denying requests for discovery, or in granting a motion to quash, where it fails to consider interests favoring disclosure, or an order partially limiting rather than outright denying discovery. Johnson v. Superior Court (2000) 80 Cal.App.4th 1050, 1073 (reversing trial court order quashing entirely deposition notice, and instead

ordering discovery of private medical history, but only to the extent relevant).

The California Constitution provides a right to privacy that creates a qualified bar to discovery. Cal. Const., Art. I, § 1; *Britt v. Superior Court of San Diego County* (1978) 20 Cal.3d 844, 854-855. "The right to privacy extends to one's personal financial information." *Burkle v. Burkle* (2006) 135 Cal.App.4th 1045, 1063 citing *Valley Bank of Nevada v. Superior Court* (1975) 15 Cal.3d 652, 656 ("the right of privacy extends to one's confidential financial affairs as well as to the details of one's personal life"). Parties may overcome objections on the basis of a right to privacy by demonstrating that the information sought is "directly relevant to the claim or defense." *Harris v. Superior Court* (1992) 3 Cal.App.4th 661, 665 (the broad "relevancy to the subject matter" is not the standard and "the proponent of constitutionally protected material has the burden" of making the threshold showing of direct relevance). Once good cause is shown, courts must carefully balance a right of privacy against the interest in having just litigation. *Pioneer Electronics (USA), Inc. v. Superior Court* (2007) 40 Cal.4th 360, 371.

III. ANALYSIS

Defendants move for an order quashing or modifying the subpoena directed to Bank of America, arguing that Plaintiff failed to properly serve the affected consumer, the subpoena is vastly overbroad, seeks highly private financial information, and the timing and manner of service were oppressive and prejudicial. (Motion, pp. 10-13.)

Specifically, Defendants argue the subpoena is overbroad because it seeks a sweeping demand of the entire account file from June 1, 2022, to the present, without narrowing the request to specific transactions, issues or categories actually relevant to the claims and defenses. (Id. at p. 11.)

In reply, Defendants emphasize that the account was not opened until January 9, 2024, and contend that any production should be limited to records reasonably related to Plaintiff's alleged funds, the property acquisition, mortgage payments, and rents. (Reply, pp. 2, 9-10.)

Finally, Defendants argue the timing and manner of the subpoena were oppressive and that SARs and SAR-related information are protected from disclosure under federal law. Defendants request that the subpoena be quashed or substantially narrowed and that any production be subject to a protective order. (Motion, pp. 12-14.)

Plaintiff opposes the motion, arguing first that the motion is untimely, and that there was no meet and confer nor was a separate statement filed. Plaintiff further argues that Defendants lack standing to assert Jianxin Xu's privacy rights because neither Defendant owns or claims any interest in the subject account. Plaintiff also contends service on Jianxin Xu was proper because CCP section 1985.3 permits service at the consumer's last known address. (Opposition., pp. 6-8.)

On the merits, Plaintiff argues the records are directly relevant because this action concerns the tracing of approximately \$4.89 million allegedly transferred through accounts controlled by Jianxin Xu and used toward the property purchase, mortgage payments, and rental activity. Plaintiff contends the requested records are necessary to determine the movement and disposition of those funds and that no less intrusive source exists. Plaintiff nevertheless does not oppose a reasonable protective order limiting the use of the records to this litigation. (Opposition., pp. 10-12.)

The Court makes the following findings.

Procedurally

As a preliminary matter, the Court declines to deny the motion based on untimeliness, the lack of a separate statement, or the failure to meet and confer. Because the motion was filed before the July 10, 2026, production date, the Court exercises its discretion to consider the motion on the merits.

Next, as to standing, CCP § 1987.1(b)(1) expressly identifies a “party” as a person who may move to quash or modify a subpoena. Although the Bank of America records do not belong to Moving Defendants, they are parties directly affected by the subpoena because Plaintiff intends to use the financial records as evidence against them. Thus, Moving Defendants have standing to seek modification of the subpoena.

Merits

The Court finds that the requested bank records are directly relevant to Plaintiff's claims. Plaintiff alleges causes of action for conversion, breach of fiduciary duty, accounting, purchase-money resulting trust, constructive trust over traceable proceeds, restitution, and equitable lien, all of which implicate the movement and tracing of the disputed funds. Indeed, Plaintiff alleges that her beneficial interest in the property depends on the proportion of the purchase price paid with her funds and the reduction in mortgage principal from payments made with her funds. (SAC, ¶ 81.) Thus, Plaintiff has demonstrated a legitimate need for the relevant transaction records.

However, the subpoena as drafted is broader than necessary. It seeks “any and all” records concerning the account from June 1, 2022, to the present, even though the Bank of America account was not opened until January 9, 2024. The subpoena also extends beyond transaction and account records to internal bank comments, notes, emails, alerts, compliance materials, Currency Transaction Reports, and SARs.

The Court therefore finds modification appropriate rather than quashing the subpoena in its entirety. The subpoena shall be limited to records beginning January 9, 2024, to the present and shall exclude SARs and information revealing whether a SAR was prepared or filed. Federal law prohibits disclosure of such information, and California courts recognize and enforce that prohibition. (See *Union Bank of California v. Superior Court* (2005) 130 Cal.App.4th 378, 392–394.)

Finally, because the records contain sensitive financial information and both sides agree that confidentiality protections are appropriate, any production shall be subject to a protective order limiting disclosure and use of the records to this litigation.

Thus, the motion to quash is DENIED, but the alternative request to modify the subpoena is GRANTED as set forth above.

IV. CONCLUSION AND ORDER

The Court DENIES Defendants' motion to quash the Bank of America subpoena in its entirety. However, the Court GRANTS Defendants' alternative request to modify the subpoena.

The Court further DENIES Plaintiff's request for monetary sanctions.

Defendants are to give notice.

Dated: August 31, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT